

3.2 Business growth

Subject content	What students need to learn:
3.2.1 Growth	a) Objectives of growth: - o to achieve economies of scale (internal and external) - o increased market power over customers and suppliers - o increased market share and brand recognition - o increased profitability b) Problems arising from growth: - o diseconomies of scale - o internal communication - o overtrading
3.2.2 Mergers and takeovers	a) Reasons for mergers and takeovers b) Distinction between mergers and takeovers c) Horizontal and vertical integration d) Financial risks and rewards e) Problems of rapid growth
3.2.3 Organic growth	a) Distinction between inorganic and organic growth b) Methods of growing organically c) Advantages and disadvantages of organic growth
3.2.4 Reasons for staying small	a) Small business survival in competitive markets: - o product differentiation and USPs - o flexibility in responding to customer needs - o customer service - o e-commerce